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Case Number: 26TRCV00657 Hearing Date: September 17, 2026 Dept: 5

Superior Court of California

County of Los Angeles – SOUTHWEST District

Department

5

HYPER ICE, INC.

;

Plaintiff,

vs.

STEELE LOGISTICS INC.

, et al.;

Defendants.

Case

No.:

26TRCV00657

Hearing

Date:

September

17, 2026

Time:

8:30 a.m.

[tentative]

Order RE:

(1)

DEFENDANTS STEELE LOGISTICS, INC., MICHAEL

FLASKERUD, AND KRISTIN MAIER'S DEMURRER TO FIRST AMENDED COMPLAINT

(2)

DEFENDANTS STEELE LOGISTICS, INC., MICHAEL

FLASKERUD, AND KRISTIN MAIER'S MOTION TO STRIKE CLAIMS FOR PUNITIVE DAMAGES

(3)

PLAINTIFF

HYPER ICE, INC.'S REQUEST FOR LEAVE TO AMEND

MOVING PARTY: Defendants, Steele Logistics,

Inc., Michael Flaskerud, and Kristin Maier

RESPONDING PARTY: Plaintiff, Hyper Ice, Inc.

(1)

Defendants

Steele Logistics, Inc., Michael

Flaskerud, and Kristin Maier's Demurrer to First Amended Complaint is SUSTAINED

with respect to Michael Flaskerud and Kristin Maier and the fifth and ninth

causes of actions and OVERRULED with respect to the first, second, third,

fourth, sixth, seventh, and eighth causes of action pursuant to Code of Civil Procedure

section 430.10.

(2)

Defendants

Steele Logistics, Inc., Michael Flaskerud, and Kristin Maier's Motion to Strike

Claims for Punitive Damages is DENIED pursuant to Code of Civil Procedure section 435.

The Court considers the moving papers filed on August 18, 2026, and the opposition brief filed on September 9, 2026. To date, no reply brief has been filed.

BACKGROUND

Factual Background

On February 20, 2026, plaintiff Hyper Ice, Inc. ("Plaintiff") filed the Complaint against defendants Steele Logistics, Inc. ("Steele"), Michael Flaskerud, Kristin Maier née Flaskerud, (collectively, "Defendants") and DOES 1 through 50.

On July 8, 2026, Plaintiff filed the First Amended Complaint ("FAC") against Defendants and DOES 1 through 50. The FAC includes the following causes of action: (1) Negligence; (2) Breach of Implied Covenant of Good Faith and Fair Dealing; (3) Breach of Fiduciary Duty; (4) False Promise; (5) Concealment; (6) Intentional Misrepresentation; (7) Negligent Misrepresentation; (8) Unfair Business Practices (Bus. & Prof. Code, §§ 17200-17500, et seq.); and (9) Unjust Enrichment.

On August 6, 2026, Defendants' counsel emailed Plaintiff's counsel a meet-and-confer letter to discuss the alleged deficiencies identified in the demurrer and motion to strike. (Declaration of Emanuel K. Caros ("Caros Decl."), ¶ 3, Exh. A.) Subsequently, on August 12, 2026, the attorneys for both parties held a video conference to discuss these alleged deficiencies. (Caros Decl., ¶ 4.) During the meeting, Plaintiff's counsel declined to make any further amendments to the FAC. (Caros Decl., ¶ 5.)

MEET AND CONFER REQUIREMENT

Before filing a demurrer or motion to strike, the moving party is required to meet and confer in person, by telephone, or via video conference with the party that filed the pleading that

is subject to the motion to determine whether an agreement can be reached that would resolve the objections to be raised in the demurrer or motion to strike. (Code Civ. Proc., §§ 430.41, subd. (a), 435.5, subd. (a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (Code Civ. Proc., §§ 430.41, subd. (a)(2), 435.5, subd. (a)(2).) Thereafter, the moving party shall file and serve a declaration detailing their meet-and-confer efforts. (Code Civ. Proc., §§ 430.41, subd. (a)(3), 435.5, subd. (a)(3).) A determination by the court that the meet and confer process was inadequate shall not be grounds to overrule or sustain a demurrer, or to grant or deny a motion to strike. (Code Civil Proc., §§ 430.41, subd. (a)(4), 435.5, subd. (a)(4).)

On August 6, 2026, Defendants' counsel emailed Plaintiff's counsel a meet-and-confer letter to discuss the alleged deficiencies identified in the demurrer and motion to strike. (Caros Decl., ¶ 3, Exh. A.) Subsequently, on August 12, 2026, the attorneys for both parties held a video conference to discuss these alleged deficiencies. (Caros Decl., ¶ 4.) During the meeting, Plaintiff's counsel declined to make any further amendments to the FAC. (Caros Decl., ¶ 5.)

The Court finds that the parties sufficiently met and conferred prior to Defendants filing the demurrer and motion to strike.

DEMURRER

Legal Standard

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) "To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged." (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City

Hospital Dist. (1992) 2 Cal.4th 962, 966-967.) A demurrer “does not admit contentions, deductions or conclusions of fact or law.” (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

A pleading is uncertain if it is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) A demurrer for uncertainty may lie if the failure to label the parties and claims renders the complaint so confusing that the defendant cannot tell what he or she is supposed to respond to. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.) However, “[a] demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.)

Discussion

Individual Defendants

Defendants Flaskerud and Maier (collectively, “Individual Defendants”) demur to the entirety of the FAC on the following grounds: (1) “Plaintiff has made no showing whatsoever of any basis for liability of the individual corporate employees[.]” and (2) “Plaintiff does not specifically allege alter-ego, or any other allegation sufficient to support liability of corporate employees.” (Dem., pp. 4:25-26, 5:6-7.) The Court agrees.

“Directors and officers are not personally liable on contracts signed by them for and on behalf of the corporation unless they purport to bind themselves individually.” (United States Liab. Ins. Co. v. Haidinger-Hayes, Inc. (1970) 1 Cal.3d 586, 595.) “Directors or officers of a corporation do not incur personal liability for torts of the corporation merely by reason of their official position, unless they participate in the wrong or authorize or direct that it be done. They may be liable, under the rules of tort and agency, for tortious acts committed on behalf of the corporation.” (Ibid.) However, individuals may still be held liable under the doctrine of alter ego, even if the plaintiff does not establish that directors or officers personally bound themselves through a contract or engaged in the wrongdoings. (Angel Lynn

Realty, Inc. v. George (2025) 114 Cal.App.5th 655, 662-663.)

“ ‘In California, two

conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone. [Citations.] “Among the factors to be considered in applying the doctrine are commingling of funds and other assets of the two entities, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, use of the same offices and employees, and use of one as a mere shell or conduit for the affairs of the other.” [Citations.] Other factors which have been described in the case law include inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers. [Citations.] No one characteristic governs, but the courts must look at all the circumstances to determine whether the doctrine should be applied. [Citation.] Alter ego is an extreme remedy, sparingly used. [Citation.]” (Hasso v. Hapke (2014) 227 Cal.App.4th 107, 155, quoting Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538-539.)

Plaintiff contends that it

has sufficiently established the liability of the Individual Defendants through the alter ego doctrine. (Dem. Opp., pp. 4:2-5:2.) However, the Court disagrees, finding that Plaintiff has not demonstrated a unity of interest and ownership between Steele and the Individual Defendants that negates their separate identities, nor has it shown that an inequitable result would occur if the actions in question were attributed solely to Steele.

Plaintiff asserts that from

2013 to September 2025 (“the Term”), “Flaskerud and Maier were the Chief Executive Officer and Chief Operating Officer of Steele, respectively. ... On information and belief, Flaskerud was also the controlling owner of Steele during the Term.” (FAC, ¶ 11.) “On information and belief, Flaskerud and Maier have been using funds from Plaintiff’s payments to Steele to pay for personal expenses, including but not limited to, housing and car payments.” (FAC, ¶ 34.) “On information and belief, Maier started a competing logistics company, Atlas Global Logistics, on or around August 12, 2025, to continue business operations while avoiding the

liability from Defendants' fraudulent actions through Steele." (FAC, ¶ 35.)

The Court does not find

these allegations sufficient to establish a unity of interest. Plaintiff contends that the Individual Defendants are executives who have withdrawn funds from Steele. This does not indicate that the Individual Defendants have neglected corporate formalities or commingled their funds with those of Steele; rather, it merely suggests that they have extracted funds from Steele.

Moreover, the Court finds

the allegations insufficient to demonstrate that treating the actions in question solely as those of Steele would lead to inequitable consequences. Plaintiff argues that "an inequitable result would injustice would occur if the Court does not hold the Individual Defendants liable, as Maier has already started a competing logistics company, Atlas Global Logistics, on or around August 12, 2025, to continue business operations while avoiding the liability from her fraudulent actions on behalf of Steele. FAC, at ¶ 35." (Dem. Opp., p. 4:24-28.) However, this argument fails to articulate the nature of the inequitable result, how Maier's alleged new company may cause such a result, or its relevance to Plaintiff's claims.

In conclusion, the claims

against the Individual Defendants do not withstand legal scrutiny under the alter ego doctrine. Accordingly, the Court SUSTAINS Defendants' demurrer to the entire FAC as to the Individual Defendants.

Uncertainty – Entire FAC

Defendants demur to the entirety of the FAC on the grounds of uncertainty. (Dem., pp.

6:3-7:19.) Defendants contend that each cause of action is uncertain for two primary reasons: (1) the causes of action "are pled '[a]gainst [a]ll Defendants[.]' " and (2) the allegations "improperly lump[] together individual defendants with a corporate entity and each other" by "repeatedly refer[ing] to 'Defendants' collectively[.]" (Dem., p. 6:4-5, 12.) The Court disagrees.

Defendants first argue that

"[c]ommingling defendants together without distinguishing their individual conduct is improper where it fails to provide each defendant notice of the

claims against them. (Cal. Rules of Court 2.1112); see also *A.J. Fistes Corp. v. GDL Best Contractors, Inc.*, supra, 38 Cal.App.5th 677.)" (Dem., p. 6:5-8.) However, the Court finds this argument unpersuasive.

California Rules of Court, rule 2.1112 stipulates that: "Each separately stated cause of action, count, or defense must specifically state: ¶ (1) Its number (e.g., 'first cause of action'); ¶ (2) Its nature (e.g., 'for fraud'); ¶ (3) The party asserting it if more than one party is represented on the pleading (e.g., 'by plaintiff Jones'); and ¶ (4) The party or parties to whom it is directed (e.g., 'against defendant Smith')." This rule does not preclude Plaintiff from asserting each cause of action collectively against Defendants. Rather, it merely requires that Plaintiff provide sufficient notice to Defendants regarding the causes of action being asserted against them, which Plaintiff has accomplished. The case of *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695-696, reinforces this interpretation.

Furthermore, Defendants assert that "the general allegations [that] refer to 'Defendants' collectively ... are unduly vague and uncertain where they seem to make broad, conclusory allegations against a corporate entity and two individuals, without specifying which, if any, of the three defendants did the specific conduct alleged." (Dem., p. 6:12-14.) The Court does not concur with this perspective, observing that Plaintiff appears to be making a claim that "each of the Defendants [were] working in concert for certain wrongful acts." (Dem. Opp., p. 5:25-26.)

Plaintiff is not obligated to delineate each defendant's allegedly wrongful actions, particularly when Plaintiff asserts that all defendants participated in such conduct. Defendants have not cited any applicable case law or statutes that impose such a requirement on Plaintiff. It is apparent that Plaintiff attributes the actions to all parties, thereby providing Defendants with adequate notice regarding the conduct attributed to them and ensuring that the claims remain sufficiently clear.

Uncertainty – Fraud Claims

Defendants demur to the fraud claims, specifically the fourth, fifth, sixth, and seventh causes of action, on the following grounds:

(1) "[n]one of these causes of action allege any conduct, statement, or

representation by Defendant Maier[;]" (2) "Plaintiff does not allege any statement or representation by Defendant Maier, and thus cannot even meet the first essential element of these claims as against Maier[;]" (3) "Plaintiff's FAC still fails to meet the requisite pleading standard where it makes no contention regarding Maier's 'authority to speak, to whom [Maier] spoke, what [Maier] said or wrote, and when it was said or written.' " (Dem., p. 8:6-7, 10-14.) The Court agrees with the argument but does not deem it sufficient to sustain the demurrer.

"Fraud must be pleaded with particularity. General and conclusory allegations are inadequate. [Citation.] [B]ecause allegations of fraud involve a serious attack on character, fairness requires that the defendant receive the fullest possible details of the charge to prepare a defense. [Citation.] This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered. [Citation.] [Citation.]" (Lauckhart v. El Macero Homeowners Assn. (2023) 92 Cal.App.5th 889, 903-904, internal citations and quotations omitted (Lauckhart).)

Defendants acknowledge that "Plaintiff alleges that 'Flaskerud, in his capacity as the Chief Executive Officer of Steele, indicated that, even though Plaintiff had already provided the funds for the duty payments, Flaskerud had not paid said duty fees through his 'own error,' and Flaskerud promised Kristian Pearson and Sarah Harris... that he was 'actively working on a solution.' (FAC, ¶¶ 58, 68, 80, 90)." (Dem., p. 8:3-6.) Defendants do not contest that these allegations fulfill the particularity requirements outlined in Lauckhart as to Steele and Flaskerud. They assert, however, that Plaintiff has not met this burden in relation to Maier. Nevertheless, as the Court has sustained the demurrer concerning the Individual Defendants, the question of whether Plaintiff sufficiently pleaded these requirements with respect to Maier is ultimately irrelevant.

Fifth Cause of Action – Concealment

Defendants demur to Plaintiff's fifth cause of action for concealment on the following grounds: (1) Defendants did not possess a duty to disclose their purported failure to fulfill their fiduciary duties; (2) Plaintiff fails to identify the specific facts that were allegedly omitted or concealed; (3) Plaintiff does not demonstrate Defendants'

awareness of the materiality of the facts in question; (4) Plaintiff does not clarify the inaccessibility of the facts to Plaintiff; and (5) Plaintiff does not allege the general point at which the facts should have or could have been revealed. (Dem., p. 9:3-17.) The Court agrees with the second argument.

“The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40 (Rattagan), citing Graham v. Bank of America, N.A. (2014) 226 Cal.App.4th 594, 605-606.)

However, “[i]f the duty allegedly arose by virtue of the parties’ relationship and defendant’s exclusive knowledge or access to certain facts, ... the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted [or concealed] facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission. [M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[] ... are insufficient for the foregoing purposes. [Citation.]” (Id. at pp. 43-44.)

In this case, Plaintiff contends that Defendants had “failed to perform their fiduciary duties and refused to disclose to Plaintiff the fact that Defendants were not performing said duties.” (FAC, ¶ 67.) Essentially, Plaintiff asserts that Defendants were obligated to disclose their failure to uphold their alleged fiduciary duties.

Generally, such a duty does not exist. “Although inferentially, everyone has a duty to refrain from committing intentionally tortious conduct against another [citation], it does not follow that one who intends to commit a tort owes a duty to disclose that intention to his or her intended victim. The general duty is not to warn of the intent

to commit wrongful acts, but to refrain from committing them.” (Bank of America Corp. v. Superior Court (2011) 198 Cal.App.4th 862, 872, internal citations and quotations omitted.) Nonetheless, Plaintiff urges the Court to recognize the existence of such a duty pursuant to Rattagan. (Dem. Opp., p. 7:4-25.)

“A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff’s fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment).” (Rattagan, supra, 17 Cal.5th at p. 40.)

Plaintiff contends that Defendants were acting as its fiduciaries due to their business relationship, wherein Defendants functioned as Plaintiff’s agents responsible for overseeing and coordinating the shipment and importation of Plaintiff’s products. (FAC, ¶ 66.) The Court finds this relationship sufficient to impose a duty on Defendants to inform Plaintiff of their failure to uphold fiduciary duties.

However, Plaintiff’s own allegations suggest that Defendants did not conceal their failure to comply with their fiduciary duties. Plaintiff alleges that “On or around September 4, 2025, Flaskerud, in his capacity as the Chief Executive Officer of Steele, indicated that, even though Plaintiff had already provided the funds for the duty payments, Flaskerud had not paid said duty fees through his ‘own error,’ and Flaskerud promised Kristian Pearson and Sarah Harris, two employees of Plaintiff, that he was ‘actively working on a solution,’ in order to conceal his inaction on behalf of Steele.” (FAC, ¶ 68.) Thus, as the CEO of Steele, Flaskerud communicated to Plaintiff, through Plaintiff’s own employees, that Defendants had failed to comply with their alleged fiduciary duties and were seeking to rectify the situation. While Plaintiff attempts to characterize Flaskerud’s efforts as concealment, the Court finds this characterization unsubstantiated, as Flaskerud informed Plaintiff’s employees about Defendants’ failure to fulfill their fiduciary obligations.

Consequently, since

Defendants, according to Plaintiff's own assertions, did not conceal a material fact, the Court is unable to conclude that Plaintiff has sufficiently pleaded a cause of action for concealment. Accordingly, the Court SUSTAINS Defendants' demurrer to the fifth cause of action for concealment.

Ninth Cause of Action – Unjust Enrichment

Defendants demur to Plaintiff's ninth cause of action for unjust enrichment on the grounds that unjust enrichment is not a valid cause of action. (Dem., pp. 9:19-10:6.) The Court agrees.

"There is no cause of action for unjust enrichment. Rather, unjust enrichment is a basis for obtaining restitution based on quasi-contract or imposition of a constructive trust." (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1490.) Consequently, Plaintiff is unable to bring a cause of action for unjust enrichment.

Plaintiff requests that the Court "ignore [the] erroneous [] label[] 'if the complaint pleads facts which would entitle the plaintiff to relief.' (McBride v. Boughton, 123 Cal. App. 4th 379, 387, 20 Cal. Rptr. 3d 115, 121 (2004).) In those situations, Courts analyze the 'actual gravamen' of the claims to determine what cause of action, if any, he stated, or could have stated if given leave to amend. (Id.)" (Dem. Opp., p. 8:15-19.) However, Plaintiff has failed to present any argument detailing what alternative cause of action has been stated or could be stated if leave to amend is granted. The Court will not provide this argument on behalf of Plaintiff.

Accordingly, the Court SUSTAINS Defendants' demurrer to the ninth cause of action for unjust enrichment.

MOTION TO STRIKE

Legal Standard

Any party, within the time allowed to respond to a pleading, may serve and file a notice of motion to strike the whole or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1).) The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a); *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782 ["Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded"].) The court may also strike all or any part of any pleading not drawn or filed in conformity with California law, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b), emphasis added.) An immaterial or irrelevant allegation is one that is not essential to the statement of a claim or defense; is neither pertinent to nor supported by an otherwise sufficient claim or defense; or is a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.)

Discussion

Defendants seek to strike claims for punitive damages found in paragraphs 75 and 85, as well as the prayer for relief, paragraph 2. (MTS, p. 1:14-15.) However, the Court observes that the request to strike paragraph 75 has become moot following its decision to sustain Defendants' demurrer to the fifth cause of action. Furthermore, any claims for punitive damages against the Individual Defendants are rendered moot following the Court's decision to sustain the demurrer as to all claims against them. Regardless, as paragraph 85 remains in contention, the Court must assess whether Plaintiff's claim for punitive damages has been sufficiently pleaded against Steele.

Punitive damages may be imposed where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice. (Civ. Code, § 3294, subd. (a).) "It is essential that the facts and circumstances which constitute the fraud should be set out clearly, concisely, and with sufficient particularity to apprise the opposite party of what he is called on to answer, and to enable the court to determine whether, on the facts pleaded, there is any foundation, prima facie at least, for the charge of fraud. [Citation.]"

(Lehto v. Underground Constr. Co. (1977) 69 Cal.App.3d 933, 845, internal citation and quotations omitted.)

A motion to strike punitive damages is properly granted when a plaintiff does not state a prima facie claim for punitive damages. (Turman v. Turning Point of Cent. California, Inc. (2010) 191 Cal.App.4th 53, 63.)

“Fraud” means “means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code, § 3294, subd. (c)(3).) “An employer shall not be liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation.” (Civ. Code, § 3294, subd. (b).)

Defendants allege that “Plaintiff’s FAC seeks punitive damages but fails to make any legitimate pleading in support of such recovery. Rather, Plaintiff’s FAC only includes general, conclusory statements that ‘Plaintiff is entitled to punitive damages as a result of Defendants’ intentional fraudulent conduct.’ (FAC, ¶¶ 75, 85, (2) of Prayer for Relief). Further, Plaintiff seeks punitive damages against all defendants, including the corporate defendant and its corporate employees; however, Plaintiff’s FAC does not allege conduct of all defendants – most notably Defendant Maier – and is devoid of any allegation that the corporate employer, or any officer, director, or managing agent of the corporation, had knowledge of the unfitness of any employee or authorized or ratified the conduct. Instead, Plaintiff improperly pleads its claim for punitive damages generally, without specific allegations of ultimate facts, contrary to applicable law. For these reasons, Plaintiff’s claims for punitive damages should be stricken.” (MTS, p. 1:12-21.) The Court disagrees.

First, the Court observes that

Plaintiff does not rely exclusively on general, conclusory statements regarding its entitlement to punitive damages. Specifically, paragraphs 26 to 35 and the sixth cause of action for intentional misrepresentation, including paragraph 85, provide substantial supporting allegations.

Next, the Court deems it irrelevant whether Plaintiff alleges that Maier participated in the fraudulent activities, given the Court's ruling on the demurrer.

Finally, the Court concludes that Plaintiff sufficiently alleges that an officer, specifically Flaskerud, participated in the fraud.

Plaintiff alleges that "On or around September 4, 2025, Flaskerud, in his capacity as the Chief Executive Officer of Steele, indicated that, even though Plaintiff had already provided the funds for the duty payments, Flaskerud had not paid said duty fees through his 'own error,' and Flaskerud promised Kristian Pearson and Sarah Harris, two employees of Plaintiff, that he was 'actively working on a solution.'" (FAC, ¶ 26.) "On information and belief, Flaskerud, in his capacity as the Chief Executive Officer of Steele, has authority to speak or act on behalf of Steele." (FAC, ¶ 27.) "However, Defendants did not provide any further follow up, did not resolve the issues, and Defendants' customer service representatives started to ignore emails and phone calls from Plaintiff. See *id.* On or around September 11, 2025, after not receiving any follow-up response from Defendants, Plaintiff emailed Defendants to again ask them to pay the duty fees to CBP—as Defendants had promised—but again received no response. See *id.*" (FAC, ¶ 28.) "[D]espite Plaintiff consistently making timely payments to Defendants for the Subcontractors' services, Defendants failed to forward these payments to the Subcontractors, refused to put Plaintiff in communication with the Subcontractors, and concealed the global consequences of the Subcontractors refusing to perform their services for Plaintiff. Specifically, because the Subcontractors were not being paid, the Subcontractors refused to provide services, delayed transport of Plaintiff's products at different ports around the world, and even held Plaintiff's products as collateral." (FAC, ¶ 30.) "On information and belief, Flaskerud and Maier have been using funds from Plaintiff's payments to Steele to pay for personal expenses, including but not limited to, housing and car payments." (FAC, ¶ 34.)

Given that Flaskerud, an officer of Steele, is alleged to have directly engaged in fraudulent conduct, the Court does not find Plaintiff's claim for punitive damages against Steele to be inadequately pleaded. Accordingly, the Court DENIES Defendants' motion to strike.

ORDERS

1) Defendants

Steele Logistics, Inc., Michael Flaskerud, and Kristin Maier's Demurrer to First Amended Complaint is SUSTAINED with respect to Michael Flaskerud and Kristin Maier and the fifth and ninth causes of actions and OVERRULED with respect to the first, second, third, fourth, sixth, seventh, and eighth causes of action.

2) Defendants

Steele Logistics, Inc., Michael Flaskerud, and Kristin Maier's Motion to Strike Claims for Punitive Damages is DENIED.

3) Plaintiff

Hyper Ice, Inc. is GRANTED twenty (20) days Leave to Amend.

4) Defendants

are ordered to provide notice of this Court's ruling.

IT IS SO ORDERED.

DATED: September 17, 2026

Tamara
Hall

Judge
of the Superior Court